THE DEEPFAKE CRISIS

Problems, Data & the People Behind the Numbers

An evidence report compiled in support of Aletheia — AI Forensic Analysis Engine

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Why This Report Exists

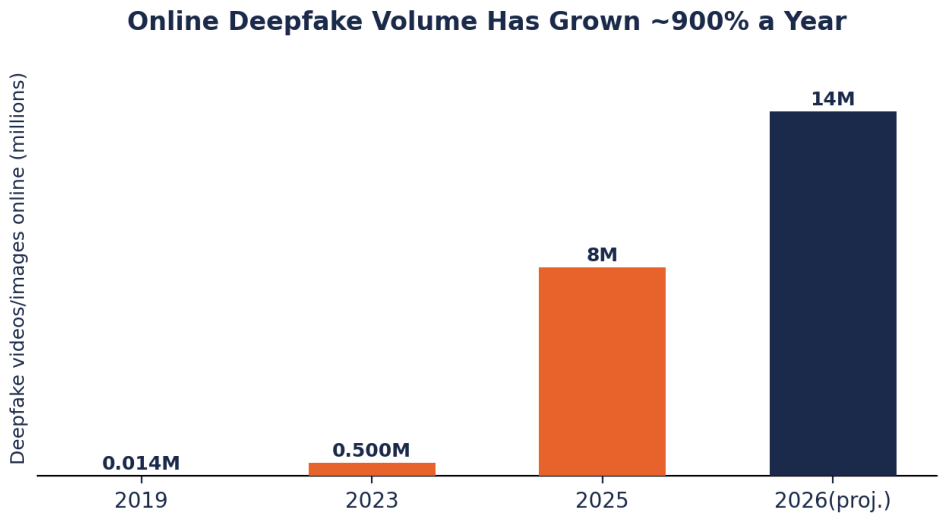
Numbers alone don't move judges, policymakers, or users — but numbers plus real people do. This report pulls together the scale of the deepfake problem (growth data, financial losses, detection-accuracy research) and the human cost behind it: named, dated, sourced cases of real people who lost money, dignity, or safety to synthetic media, plus a digest of the news coverage documenting this crisis as it has unfolded through 2023–2026.

Every figure and story below is drawn from a cited, dated, publicly available source — no numbers or incidents have been invented. Where a victim's real name was withheld by the original news outlet for privacy, that is noted.

1. The Scale of the Problem

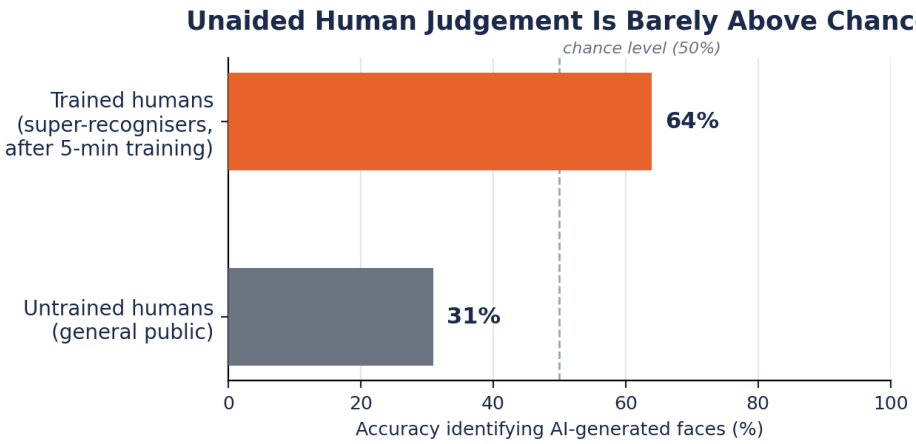
900%	$2.7B	92,000+	47%
growth in online deepfake volume, per year (WEF)	lost to cyber fraud in India in 2025 (I4C)	"digital arrest" scam cases in India (2025)	of Indian adults hit by an AI voice/deepfake scam

The volume of synthetic media online has been compounding at roughly 900% a year since 2019, according to the World Economic Forum — a trend independent trackers confirm is continuing, with online deepfake volume estimated to reach into the tens of millions by 2026.



Source: World Economic Forum (2023); The Global Statistics, Deepfake Statistics 2026; DeepStrike (2026)

Detection is not something the human eye can be relied on for. Across multiple independent 2025–26 studies — University of Reading/Leeds/Greenwich/Lincoln, a Wiley-published replication, and public detection quizzes with tens of thousands of participants — unaided human accuracy at spotting AI-generated faces sits in the low 30s to mid 50s percent, essentially a coin flip.



Source: Gray et al., "Training human super-recognizers' detection and discrimination of AI-generated faces," Royal Society Open Science (2025).

2. Real People, Real Harm

These are not hypothetical risks. Each case below happened, was reported by name or verified detail in mainstream or trade press, and represents a pattern repeating at scale across India and globally.

ORDINARY INVESTOR · INDIA

"B. Hari", Bengaluru — Chartered Accountant

₹23.2 lakh lost

A Bengaluru-based chartered accountant saw deepfake videos of Mukesh Ambani, N.R. Narayana Murthy, and Sudha Murty on Facebook promoting a stock-investment scheme in late 2024. The videos were entirely AI-generated but looked and sounded authentic. He filled out a form, was contacted by a "financial advisor" over WhatsApp video call from a UK number, and was walked through a series of transfers before realising the platform and the executives endorsing it were both fake.

Source: Deccan Herald, "CA falls prey to deepfake video scam, loses Rs 23 lakh" (2025).

DIGITAL ARREST · INDIA

92-Year-Old Man, Delhi

₹2 crore drained

Fraudsters impersonating officials from the Telecom Regulatory Authority of India and Maharashtra Police told a 92-year-old Delhi man that FIRs had been filed against him and he faced imminent arrest. Kept under sustained psychological pressure, he transferred over ₹2 crore before Delhi Police's cyber unit (IFSO) traced and recovered the funds — an outcome most victims do not get.

Source: Delhi Police / All India Radio News, "Delhi Police Busts Digital Arrest Scam, Recovers ₹2 Crore" (15 May 2025).

DIGITAL ARREST · INDIA

Retired Merchant Navy Officer & 100-Year-Old Father, Lucknow

₹1.29 crore lost

A caller posing as a CBI officer told a 100-year-old man that a money-laundering warrant had been issued in his name, then kept him under a six-day "digital arrest" over WhatsApp video call. His 70-year-old son, fearing his father's arrest, transferred ₹1.29 crore across multiple transactions before the family realised it was fraud.

Source: Deccan Herald, "Ex-merchant navy officer, 100-year-old father lose Rs 1.29 crore in digital arrest scam" (28 Aug 2025).

FAMILY-EMERGENCY VOICE CLONE · USA

Jennifer DeStefano, Arizona

$1 million ransom demanded

Jennifer DeStefano received a call in which she heard what she was certain was her daughter's voice, crying and saying she had been kidnapped, followed by a man demanding a $1 million ransom. Her daughter was safe the entire time — her voice had been cloned from social media clips. DeStefano later testified before the U.S. Senate about the incident, helping drive national attention to AI voice-cloning fraud.

Source: SafeWise; CNN interview coverage (2023–2026 ongoing reporting).

CORPORATE FRAUD · HONG KONG

Arup (UK Engineering Firm)

$25.6 million stolen

A finance employee at Arup's Hong Kong office joined a video call with people who looked and sounded exactly like the company's UK-based CFO and several colleagues. Every participant on the call was an AI-generated deepfake built from executives' publicly available conference footage. The employee authorised 15 wire transfers before discovering the fraud through an independent follow-up call to head office.

Source: CNN Business (16 May 2024); CFO Dive (17 May 2024).

NON-CONSENSUAL IMAGERY → FEDERAL LAW · USA

Advocacy That Changed U.S. Law

In 2023, AI-generated non-consensual explicit images of more than 30 female students were created and circulated at a New Jersey high school. One student's family spent over a year publicly advocating for legal reform after finding no clear path to accountability. Their advocacy directly contributed to the federal "TAKE IT DOWN Act," signed into law in May 2025, which criminalises the publication of non-consensual sexual imagery, including AI-generated deepfakes, and mandates fast platform takedowns.

Source: CNN (Nov 2023); The New York Times (Apr 2024); CBS News (May 2025).

POLITICAL / CELEBRITY MISUSE · INDIA

Rashmika Mandanna Deepfake

A deepfake face-swap video placing the Bollywood actor's face onto another woman's body went viral in November 2023, viewed by millions before being debunked. It became India's first mainstream deepfake controversy and a direct catalyst for the government's subsequent IT Rules amendments on synthetic content.

Source: Multiple mainstream Indian outlets (Nov 2023); Cybersecify (2026).

3. News Coverage Digest

A selection of the dated news coverage this report draws on — for further reading and independent verification.

British engineering giant Arup revealed as $25 million deepfake scam victim

CNN Business • 16 May 2024

Confirms Arup as the victim of a Hong Kong deepfake video-call scam, with the company stating that fake voices and images were used to authorise fraudulent transfers.

https://www.cnn.com/2024/05/16/tech/arup-deepfake-scam-loss-hong-kong-intl-hnk

Teen Girls Confront an Epidemic of Deepfake Nudes in Schools

The New York Times • 8 April 2024

Reports on the Westfield High School case and the broader pattern of AI-generated non-consensual imagery in American schools, and the slow institutional response.

https://www.nytimes.com/2024/04/08/technology/deepfake-ai-nudes-westfield-high-school.html

New Jersey teen victimized by AI porn attends 'Take It Down Act' signing at White House

CBS News • May 2025

Covers the signing of the federal law criminalising non-consensual AI-generated sexual imagery, tracing it back to the Westfield High School advocacy campaign.

https://www.cbsnews.com/newyork/news/take-it-down-act-teen-advocate-from-new-jersey

CA falls prey to deepfake video scam, loses Rs 23 lakh

Deccan Herald • 2025

Details how a Bengaluru chartered accountant was defrauded through deepfake videos of well-known Indian business figures endorsing a fake investment platform.

https://www.deccanherald.com/amp/story/india%2Fkarnataka%2Fbengaluru%2Fca-falls-prey-to-deepfake-video-scam-loses-rs-23-lakh-3370268

₹13 crore lost in 'digital arrest' scam: Delhi woman duped via fake police, judge on WhatsApp

Storyboard18 (via WSJ reporting) • 1 April 2026

A 77-year-old retired pediatrician was coerced over days of video calls by fraudsters impersonating police and a judge, losing over ₹13 crore — illustrating the scale digital-arrest fraud has reached in India.

https://www.storyboard18.com/digital/%E2%82%B913-crore-lost-in-digital-arrest-scam-delhi-woman-duped-via-fake-police-judge-on-whatsapp-93953.htm

India Scams 2026: Fake Cops, Deepfake Tycoons, and the ₹22,500-Crore Fraud Epidemic

ScamWatchHQ • 6 June 2026

A comprehensive data roundup of India's 2025 cybercrime losses, digital-arrest scam patterns, and the deepfake-driven investment fraud impersonating high-profile business figures.

https://scamwatchhq.com/india-scams-2026-digital-arrest-upi-fraud-epidemic/

AI Scams Are Targeting Grandma (And You Too)

SafeWise • 2026

Covers Jennifer DeStefano's AI voice-clone kidnapping-extortion case and her subsequent congressional testimony calling for AI regulation.

https://www.safewise.com/news/ai-scams-are-targeting-grandma-and-you-too/

How can we combat the worrying rise in deepfake content?

World Economic Forum • May 2023

The widely cited source for the finding that deepfake content online grew roughly 900% between 2019 and 2020, and the trend's implications for businesses and trust online.

https://www.weforum.org/stories/2023/05/how-can-we-combat-the-worrying-rise-in-deepfake-content/

Deepfakes and Financial Cybercrime: India's Multi-Layered Response

Observer Research Foundation (ORF) • 15 January 2026

Analyses India's regulatory and financial-sector response to deepfake-enabled fraud, citing survey data that 47% of Indian adults have been affected by AI voice-cloning or deepfake scams.

https://www.orfonline.org/expert-speak/deepfakes-and-financial-cybercrime-india-s-multi-layered-response

4. The Data, In Full

Global

- Online deepfake volume has grown roughly 900% year-on-year since 2019 (World Economic Forum, 2023).
- Cumulative global deepfake-related financial losses reached an estimated $1.56 billion through the end of 2025, with over $1 billion of that in 2025 alone (Surfshark analysis of AI Incident Database / Resemble AI data).
- The FBI's IC3 unit logged 22,364 AI-tagged fraud complaints for 2025, totalling roughly $893 million in reported losses — investment fraud alone accounted for $632 million of that.
- 96% of deepfake pornographic videos identified in a 2019 academic study were non-consensual, with the overwhelming majority targeting women (cited in the 2025 International AI Safety Report).
- Unaided human accuracy at identifying AI-generated faces sits between roughly 31% and 54% across multiple 2025–26 studies — near chance level.

India

- Indians lost an estimated ₹22,495 crore (~US$2.7 billion) to cyber fraud in 2025, with complaint volume up 24% year-on-year to about 2.81 million cases (I4C / Ministry of Home Affairs data).
- More than 92,000 “digital arrest” scam cases were reported in India through 2025, with the Supreme Court estimating nationwide losses near ₹3,000 crore for the year.
- 47% of Indian adults have been a victim of, or personally know a victim of, an AI voice-cloning or deepfake scam — nearly double the 25% global average; 83% of Indian AI-voice-scam victims suffered a monetary loss.
- India's IT Rules amendment (effective 15 November 2025) requires platforms to label and act on synthetic content; rules effective February 2026 mandate takedown of flagged deepfake content within three hours of a court or government order.
- In 2025, Indian authorities deactivated 1.2 million SIM cards, froze 1.33 million mule accounts linked to fraud, and recovered ₹5,489 crore.

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